

Pradeep Jain vs Kunal Ajay Singh And Ors on 25 April, 2026

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In the Court of Sh. Ashwani Kumar Sarpal, Principal District &
Sessions Judge, East District, Karkardooma Courts, Delhi.

Pradeep Jain vs. Kunal Ajay Singh
(Crl. Appeal No. 95/2024)

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Pradeep Jain vs. Kunal Ajay Singh
(Crl. Appeal No. 96/2024)

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Pradeep Jain vs. Kunal Ajay Singh
(Crl. Appeal No. 97/2024)

Date of institution----13-6-2024
Date of decision-----25-4-2026

(Appeals under Section 374 Cr.P.C. against judgment of conviction
dated 30-3-2024 and order on sentence dated 14-5-2024
passed in three different complaint cases)

JUDGMENT:

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1) Three complaint cases bearing numbers 59002/2016, 59003/2016 and 59004/2016 were instituted by the respondent (who shall be Page no. 1 of 33 referred as complainant herein after) on the same day and all were decided together by Id. Trial Court by convicting and sentencing the appellant (who shall be referred as an accused) vide judgment dated 30-3-2024 and order on sentence dated 14-5-2024. The transaction between the parties was one and the same under which 7 different cheques were issued by the accused, which were dishonoured on the ground of payment stopped. Complainant filed three separate complaint cases for those 7 cheques but since the transaction was same and parties were same, so similar evidence came on record in all the three cases from both the sides.

2) In complaint case no. 59002/2016, three cheques bearing no.

184647 of Rs. 50,000/- dated 13-6-2016, no. 184648 of Rs. 50,000/- dated 14-6-2016 and no. 184649 of Rs. 50,000/- dated 15-6-2016 are involved totaling of Rs. 1,50,000/-. Complaint case no. 59003/2016 relates to only one cheque bearing no. 184650 of Rs. 50,000/- dated 16-6-2016, whereas in complaint case no. 59004/2016, three cheques bearing no. 414550 dated 10-6-2016 for sum of Rs. 2,75,580/-, no. 184645 of Rs. 50,000/- dated 11-6-2016 & no. 184646 of Rs. 50,000/- dated 12-6-2016 total amounting to Rs. 3,75,580/- are the subject matter. All these above 7 cheques are drawn on Vijaya Bank, Dilshad Garden branch, Delhi issued from bank account of the accused.

3) In all the three complaint cases, accused was awarded substantive sentence of simple imprisonment of three months. However, he Page no. 2 of 33 was directed to pay different amount of fine in all the three matters equal to total cheques amount i.e. Rs. 1,50,000/-, Rs. 50,000/- and Rs. 3,75,580/- respectively along with simple interest @ 9% per annum from the date of filing of the complaints i.e. 12-8-2016 till the date of judgments i.e. 30-3-2024. The entire fine amounts along with the interest accrued in all the three matters was ordered to be paid to the complainant toward compensation. Ld. Trial Court also ordered that in case of non payment of the fine in each case, the accused shall undergo simple imprisonment of 3 months in default but those default imprisonments will run concurrently.

4) In respect of the convictions in all the three above mentioned complaint cases, three separate appeals are filed which are bearing no. 95/2024, 97/2024 & 96/2024 respectively. The same submissions and grounds are taken in all three appeals by the accused. As these three appeals are interconnected between the same parties, raising same submissions and on same controversy and cause of action with same evidence, so are being decided together.

5) Brief facts of all the three complaint cases filed before Ld. Trial Court on 9-8-2016 are that the complainant was running a shop of crockery, toys and general store items in the name of Shree Balaji Departmental Store at shop no. 373/A, Opposite J & K School, Dilshad Garden, Delhi and he felt some problem in running the said shop. In the second week of April 2016, accused gave a Page no. 3 of 33 proposal to complainant to purchase the entire articles lying in his shop and thereafter on 24-4-2016, the entire articles worth Rs. 6,75,581.07 paisa were purchased by accused and inventory of such articles was prepared. Complainant also stated that accused himself shifted those articles in his shop bearing no. M-3/A-2, Ground Floor, Main Road, Dilshad Garden, Delhi and gave cash of Rs. One Lakh besides 7 postdated cheques as per details given above. These cheques on presentation were dishonoured on the ground of "payment stopped" vide memo dated 22-6-2016. The complainant sent a legal notice dated 29-6-2016 to the accused and when despite service no payment was made, then three different complaint cases were filed.

6) Ld. Trial Court framed notice under Section 251 Cr.P.C. and accused in response to the said notice admitted that the cheques in question bears his signatures and were issued from his bank account but stated that the particulars of the cheques were not filled up by him. He alleged that his two cheque books containing the present seven cheques in question were stolen and he made a complaint in this regard to SHO, PS Seemapuri as well as to his banker Vijaya Bank. He denied any liability towards the complainant or having purchased any article from him as well as receipt of any legal notice of demand but also stated that he knew the complainant as he used to visit his parlour

for hair cutting.

7) In order to prove his case, complainant examined himself only as CW-1. Accused in his statement under Section 313 Cr.P.C. dated Page no. 4 of 33 22-11-2021 stated that he had kept the blank signed cheque books with his wife, whose shop was adjacent to his own shop and those cheque books were stolen but does not remember the exact details of date and year. He showed his intention to examine himself as defence witness by entering into the witness box and also disputed receipt of demand notice. After getting permission from the Sessions Court to recall CW-1 complainant for further cross examination, thereafter accused was again examined under Section 313 Cr.P.C. on 16-3-2023 and he disputed any transaction with the complainant and non receipt of any demand notice by alleging that the name of his father and address was not correctly mentioned. The same defence of misuse of the stolen/missing cheques was again raised and once again, accused stated that he wanted to enter into the witness box. However, while examining the defence evidence, he did not step into the witness box but examined only Mr. Sanjay, Ahlmad from court of MM as DW-1 to prove the filing of criminal complaint case for offence of cheating, forgery etc. by him against the complainant and another. He also examined DW-2 Sh. Vishwajeet Prasad, Branch Manager, Bank of Baroda (erstwhile Vijaya Bank), Dilshad Garden to prove that a copy of complaint dated 24-5-2016 was given in the bank to stop the payments of cheques in question.

8) I have heard counsel for both the parties and gone through the Trial Court records. Though, in the appeal number of grounds were not taken by accused but those were addressed during Page no. 5 of 33 arguments with permission of court, so are also being considered. Counsel for complainant during arguments placed on record copy of one FIR no. 661/2025 lodged against accused in police station Seemapuri on 29-8-2025 for offence of cheating by one Sh. Anand Chaudhary, copy of decree of eviction and damages passed against accused in case decided by court of Ms. Manu Vedwan, Addl. District & Sessions Judge, KKD on 23-8-2023 but these documents cannot be looked into to decide the present appeals even for which there is no dispute as those were not part of the Trial Court record as well as not relevant. Following points were raised by the counsel for accused during arguments;

(a) Accused did not fill up the particulars of the cheques :-

Accused has taken a defence that his blank signed cheques have been misused and the particulars of the same were not filled up by him and thus blamed complainant for committing forgery, though he admitted that the same bears his signatures and are issued from his own bank account. However, in the cross examination of CW-1 complainant, no such suggestion was given by accused that the cheques were filled up by him or someone else and are not in the own handwriting of accused. Law is well settled that if a person gives duly signed but a blank or partly written cheque, he is deemed to have Page no. 6 of 33 given implied authority to the holder to fill up the particulars in it and complete it and thus make him liable for the payment mentioned in it. Hence, a cheque partly written or blank but signed by the account holder and the rest is filled up by another is valid one under Section 20 of the N.I. Act, which deals with Inchoate Stamped Instruments. Hon'ble Supreme Court even in

Suryalakshmi Cotton Mills Ltd. vs. M/s. Rajvir Industries Ltd. 2008 II AD (SC) 381 held that filling up of the blanks in a cheque by itself would not amount to forgery. Hence, the defence taken in this regard by accused that he had not filled up the particulars of the blank signed cheques in question and same have been forged is hereby rejected.

(b) Offence u/s 138 N.I. Act is made out even in case of payment stopped:- Full Bench of Hon'ble Supreme Court in case M/s. Modi Cements Limited vs. Shri Kuchil Kumar Nandi AIR 1998 SC 1057 held that once the cheque is issued by drawer, a presumption u/s 139 must follow and merely because the drawer issues a notice to the drawee or to the Page no. 7 of 33 bank for stoppage of payment, it will not preclude in action u/s 138 of the Act by the drawee or holder of a cheque in due course.

Counsel for the accused argued that without proving the fact of insufficient balance in the account of the accused, no offence is made out simply on the basis of dishonour of the cheques on the ground of payment stopped. Counsel in this regard relied upon the case Raj Kumar Khurana vs. State IV (2009) SLT 286.

Hon'ble Supreme Court in case M/s. M.M.T.C. Ltd. vs. M/s. Medchal Chemicals & Pharma P. Ltd. (2002) 1 SCC 234 held that though on the ground of 'stop payment', provisions u/s 138 shall be attracted but accused if proves that there were sufficient funds in his account and stop payment instructions were given not due to insufficiency or paucity of funds but due to some other valid grounds including absence of debt or liability, then no offence shall be made out against the accused but this controversy shall be decided only at the time of trial. The Apex Court held that;-

"The accused can thus show that the 'stop Page no. 8 of 33 payment' instructions were not issued because of insufficiency or paucity of funds. If the accused shows that in his account there are sufficient funds to clear the amount of the cheque at the time of presentation of the cheque for encashment at the drawer bank and that the stop payment notice had been issued because of other valid causes including that there was no existing debt or liability at the time of presumption of cheque for encashment, then offence under Section 138 would not be made out. The important thing is that the burden of so proving would be on the accused."

Delhi High Court in Senbo Engineering Ltd. vs. Ahlcon Ready Mix Concrete ILR (2009) IV Delhi 83 held that dishonour of cheque on ground of stop payment attracts offence under Section 138 and Court has to presume that it was received by holder for discharge of debt or Page no. 9 of 33 liability. It is for the accused to show that stop payment instructions were not issued because of insufficiency of funds.

Hon'ble Hon'ble Supreme Court again in Laxmi Dyechem (M/s.) vs. State of Gujarat 2012 XII AD (SC) 161 held that in order to hold that the stop payment instructions to the bank would not constitute an offence, it is essential that there must have been sufficient funds in the accounts in the

first place on the date of signing of the cheque, the date of presentation of the cheque, the date on which stop payment instruction were issued to the bank. Supreme Court further held that the cases arising out of stop payment situation, where the drawer of cheques has sufficient funds in his account and yet stops payment for bonafide reasons, the same cannot be put on par with other variety of cases, where the cheque has bounced on account of insufficiency of funds or where it exceeds the amount arranged to be paid from that account, since Section 138 cannot be applied in isolation ignoring Section 139 which envisages a right of rebuttal Page no. 10 of 33 before an offence could be made out under Section 138 of the Act as the Legislature, already incorporates the expression, "unless the contrary is proved" which means that the presumption of law shall stand and unless it is rebutted or disproved, the holder of a cheque shall be presumed to have received the cheque of the nature referred to in Section 138 of the N.I. Act for the discharge of a debt or other liability. Hence the contrary is proved, the presumption shall be made that the holder of a negotiable instrument is holder in due course.

Record shows that accused has not brought any evidence on record to point out that when he informed the bank, there were sufficient balance in his account. The burden to establish the sufficiency of funds was upon the accused himself as per above decisions of Hon'ble Supreme Court. Accused examined defence witness DW-2 from his banker only to prove that he got the payment stopped but no question was put to him that balance in his account was sufficient also that in case of no dispute, the cheques in question would have been honoured in routine. Hence, the argument advanced by Page no. 11 of 33 the counsel for accused that no offence under Section 138 of N.I. Act is attracted on ground of 'payment stopped' is hereby rejected.

(c) Missing/stolen cheques:- Counsel for accused cited decision of Hon'ble Supreme Court in Raj Kumar Khurana vs. State of (NCT of Delhi) 2009 VII AD (SC) 442 and argued that in case of stolen cheque, offence under Section 138 of N.I. Act is not attracted. However, the facts and circumstances of the present case are different from this cited case.

According to the complainant, post dated cheques were given on 24-4-2016, whereas the complaint was given to the bank on 24-5-2016 after one month as well as also lodged with the SHO on the same day by accused. He also filed a criminal complaint case Ex. DW1/1 bearing no. 2735/2018 against the complainant and others on 28-5-2018 after about two years of the date of giving of the cheques. During arguments, it was informed that the said complaint case has already been dismissed in default without taking any action Page no. 12 of 33 against the complainant. Even in that case, the police filed the status report from which it appears that the allegations of the accused regarding committing theft of the cheques is found doubtful and not correct. Another decision of case Sri Venkataramaiah vs. Sri Puttaswamy Crl. Appeal no. 128/2012 decided by Karnataka High Court on 10-10- 2023 as cited by counsel for accused is not applicable in the present situation because in this cited case, accused immediately lodged complaint about missing/stolen cheque but here in the present case, complaint given to police is not properly proved as per law as accused himself did not step into the witness box to prove copy of the same, whereas the record in police station was not available being already destroyed. Further, bank was informed to stop the payment of cheque after delay of one month. Hence, no benefit can be given to the accused for lodging complaint with the police that his missing/stolen cheques were misused.

(d) Accused failed to show that he had not received any goods from the complainant:- Complainant specifically in Page no. 13 of 33 his statement mentioned that he had sold certain goods and articles to the accused on 24-4-2016 worth Rs. 6,75,581.07 paisa and inventory in this regard was prepared by him. No doubt, the inventory Mark-A placed on record by the complainant is not bearing the signatures of the accused but the same itself is not sufficient to disbelieve the complainant as the presumption arises that the cheques were given against legal liability under Section 139 of N.I. Act. In the cross examination of the complainant, no question was put regarding this inventory which was relied upon by the complainant and thus deemed to be an admitted document. The testimony of complainant that he had asked the accused to sign this inventory but he avoided to do so on the ground that when he was making the entire payment, then there is no need for the same has also remained unrebutted fact. This inventory Mark-A contains the details and particulars of the entire stock lying in the shop of complainant which was sold to the accused. Hence, it is held that inventory is duly proved by the complainant and mere fact that it was marked and not Page no. 14 of 33 exhibited is of no consequence. According to the complainant CW-1, accused has placed the order for purchasing the articles from him orally. This was the reason that no bill or invoice regarding the sale of the articles was prepared and only inventory was prepared. Non placing on record the copy of the rent agreement by which the complainant took shop in question on rent for running that shop itself is not a ground to hold that no such shop was ever in existence. The argument of counsel for accused that complainant was required to prove that he was running a shop, it was on rent, he was having goods and articles in his shop, he faced difficulty in running the shop and wanted to sell those goods and articles etc. are not necessary as presumption of liability arose due to issuing of cheques by the accused in favour of complainant. When the complainant has specifically stated in his cross examination that the accused himself collected the articles from his shop and shifted to his own shop, then there arose no chance of existence of any proof of sending the articles to the shop of the accused by any transport. Another argument that Page no. 15 of 33 accused was running only parlour and not toy or general shop, so there could not be any chance of purchasing articles from shop of the complainant also liable to be rejected because it was not for the complainant to check while selling his items lying in the shop whether accused was purchasing the same for himself or for someone else. Non preparation of any bill or invoice regarding sale of articles to the accused is not sufficient to hold that those were not sold. If any irregularity or illegality has been committed by the complainant in this regard, then action has to be taken by Sales Tax Department or GST Department against him but that alone cannot create a ground to disbelieve the complainant. Complainant may be liable for any offence of selling articles without payment of GST or sales tax to the accused but that alone is not sufficient to hold that no sale transaction has taken place between the parties or he is telling lie especially when no cross examination of the complainant CW-1 was done in respect of the inventory.

(e) Non examination of the accused himself and his wife in Page no. 16 of 33 defence:- Delhi High Court in V.S. Yadav vs. Reena 172 (2010) DLT 561 while converting acquittal into conviction of accused held that statement of accused under Section 281 or 313 Cr.P.C. is not the evidence of the accused and it cannot be read as part of evidence as it has to be looked into only as an explanation of the incriminating circumstances. There is no presumption of law that explanation given by the accused was truthful. Thus, mere pleading not guilty at the stage of notice under Section 251 Cr.P.C. or explanation given in statement under Section 281 or 313 Cr.P.C. or suggestions put to the

complainant in cross examination that cheque was issued as security does not amount to rebuttal of presumption under Section 139 of the Act especially when accused did not choose to examine himself in defence.

Counsel for accused cited decision of Hon'ble Supreme Court in case N. Vijay Kumar vs. Vishwanath Rao 2025/ INSC/537 and argued that while rebutting the presumption u/s 139 of N.I. Act, it is not necessary that accused should also step into the witness box.

According to the defence of the accused, he had kept Page no. 17 of 33 two cheque books bearing the blank signed cheques with his wife who kept the same in her shop from where the same were stolen/gone missing. The accused in his statement under Section 313 Cr.P.C. recorded twice, stated that he has to examine himself in defence but neither he stepped into the witness box nor produced his wife from whose custody, the cheque books were allegedly stolen or gone missing. The non examination of himself and his wife in such situation draws an adverse inference against the accused and the presumption of liability arising against him is held to be not rebutted.

(f) Civil suit for recovery is already decreed:- During arguments, it was informed that the decree in the civil suit for recovery of the cheques amount has already been passed but no such copy of the civil court decree is placed on record. On the other hand, it was also informed that an application was moved for setting aside the said decree by the accused. In this regard, it has to be held that both civil and criminal proceedings on basis of same cheques are maintainable and simple fact that civil suit is already decreed itself is not Page no. 18 of 33 sufficient to hold that criminal proceedings under Section 138 of N.I. Act have become barred.

(g) Minor contradictions in statement of complainant are immaterial:- In the complaint, complainant CW-1 has stated that accused has put a proposal before him to purchase the entire articles lying in the shop as the complainant was feeling some problem in running the said shop. However, in his cross examination, complainant CW-1 stated that accused usually come to his shop to purchase some articles and complainant has stated to the accused that his shop was not running well and accordingly sold the articles. In fact, there is no such contradictions as alleged which affects his testimony. In the cross examination, complainant stated that accused gave him 'a cheque' against the remaining amount after making payment of Rs. One Lakh in cash, whereas in fact 7 cheques were given. The use of word "cheque" instead of "cheques" is of no consequences.

(h) Presumptions under Section 118 and 139 of N.I. Act arises against the accused:- Counsel for accused argued Page no. 19 of 33 that presumption u/s 139 of N.I. Act arises only in respect of existence of any debt or liability but not, that such debt or liability was for legally recoverable debt or liability. However, this submission is liable to be discarded just by relying upon decision of three Judges Bench of Supreme Court in Rangappa vs. Sri Mohan 2010 V AD (SC) 565 wherein it is held that the presumption mandated by Section 139 of the Act does indeed include the existence of a legally enforceable debt or liability. Thus, the earlier view of Hon'ble Supreme Court in case Krishna Janardhan Bhat vs. Dattatraya G. Hegde 2008 CrL. J. 1172 that Section 139 of the Act only raises presumption that the cheque has been issued for discharge of any debt or liability but the existence of legally recoverable debt is not a matter of presumption under this provision, is now no longer

good law in view of the above subsequent decision of larger bench.

Supreme Court in case T. Vasanthakumar vs. Vijayakumari 2015 VI AD (SC) 668 held that where accused has not disputed the cheque, then the presumption Page no. 20 of 33 under Section 139 would operate in favour of complainant and burden lies on the accused to disprove the cheque or the non existence of any legally recoverable debt or liability. Complainant is not required to firstly establish about existence of debt or liability.

Thus, it was the responsibility of the accused to rebut the presumptions arising against him and the standard of such rebuttal was of preponderance of probability. The burden was upon the accused to show that his cheque books had gone missing or was stolen and the complainant had misused those cheques. The non examination of the accused as well as his wife from whose custody the cheque books allegedly were stolen or gone missing fortified such presumption and are held not rebutted.

The position of law is crystal clear that when a cheque is drawn out and is relied upon by the drawee, it will raise presumption that it is drawn towards a consideration which is a legally recoverable amount, such presumption of course is rebuttable by proving to the contrary. The onus is on the accused to raise a probable defence and the standard of proof Page no. 21 of 33 for rebutting the presumption is on preponderance of probabilities. To rebut the presumption, it is open for the accused to rely on evidence led by him or the accused can also rely on the materials submitted by the complainant in order to raise a probable defence. It is not necessary for the accused to come in the witness box to support his defence as inference of preponderance of probabilities can be drawn not only from the material brought on record by the parties but also by reference to the circumstances upon which they rely. This view is given by Supreme Court in K.S. Ranganatha vs. Vittal Setty 2022 (2) JCC 1010.

Supreme Court in case K.N. Beena vs. Muniyappan 2001 IX AD (SC) 109 stated that mere plausible explanation given by accused is not enough. He has to prove that there was no debt or liability by leading cogent evidence.

Again, Supreme Court in Kumar Exports vs. Sharma Carpets 2009 II AD (SC) 117 held that accused in a trial under Section 138 of the Act has two options to rebut the presumptions. He can either show that consideration and debt did not exist or that under the particular circumstances of the Page no. 22 of 33 case the non existence of consideration and debt is so probable that a prudent man ought to suppose that no consideration and debt existed. To rebut the statutory presumptions, an accused is not expected to prove his defence beyond reasonable doubt as is expected of the complainant in a criminal trial. The accused may adduce direct evidence to prove that the note in question was not supported by consideration and that there was no debt or liability to be discharged by him. However, the Court need not insist in every case that the accused should disprove the non existence of consideration and debt by leading direct evidence because the existence of negative evidence is neither possible nor contemplated. At the same time, it is clear that bare denial of the passing of the consideration and existence of debt, apparently would not serve the purpose of the accused. Something which is probable has to be brought on record for getting the burden of proof shifted to the complainant. To disprove the presumptions, the accused should bring on record such facts and

circumstances upon consideration of Page no. 23 of 33 which the Court may either believe that the consideration and debt did not exist or their non existence was so probable that a prudent man would upon the circumstances of the case act upon the plea that they did not exist. Apart from adducing direct evidence to prove that the note in question was not supported by consideration or that he had not incurred any debt or liability, the accused may also rely upon circumstantial evidence and if the circumstances so relied upon are compelling, the burden may likewise shift again on to the complainant. The accused may also rely upon presumptions of fact, for instance those mentioned in Section 114 of Evidence Act to rebut the presumptions arising under Section 118 and 139 of the Act. Once such rebuttal evidence is adduced and accepted by the Court, having regard to all the circumstances of the case and the preponderance of probabilities, the evidential burden shifts back to the complainant and thereafter, the presumptions under Sections 118 and 139 of the Act will not again come to the complainant's rescue.

Page no. 24 of 33 The above decision of Kumar Exports case is distinguishable from present facts and circumstances as in the present matter, accused has failed to rebut the presumptions existing against him whereas in the cited case, there is clear finding that accused of that case was able to rebut the presumptions even by probabilities.

(i) Deemed service of the notice:- Supreme Court in M/s. Ajeet Seeds Ltd. vs. K. Gopala Krishnaiah 2014 CrL. L. J. 3937 held that where notice has been sent by registered post at the correct address, then presumptions under Section 114 of Evidence Act and Section 27 of General Clauses Act have to be drawn regarding due service of the notice and it is not necessary to aver in the complaint that notice has been served or accused had the deemed knowledge of the notice where it is returned unserved. Thereafter, accused has to establish non service of the notice by cogent evidence.

In the present matter in hand, the demand notice was sent by speed post and presumption arises that the same were duly served. There was no major mistake in the name of the father of the accused and the address mentioned on the notice Page no. 25 of 33 as alleged by the accused. The track report filed on record by the complainant shows that the notice was served upon the accused which is not questioned in the cross examination of the complainant CW-1. It was for the accused to show that the notice was not served but he failed to rebut this presumption of service also. Even if for the sake of arguments, it is presumed that notice was not served upon the accused, then also he is now debarred to take this plea in view of the law laid down Hon'ble Supreme Court in case C.C. Alavi Haji vs. Palapetty Muhammed 2007 CrL. L. J. 3214 wherein it is held that any drawer who claims that he did not receive the notice sent by post, can within 15 days of receipt of summons from the Court in respect of the complaint u/s 138 of the Act, make payment of the cheque amount and submit to the Court that he had made payment within 15 days of receipt of summons and therefore, the complaint is liable to be rejected. A person who does not pay within 15 days of receipt of the summons from the Court along with the copy of the complaint u/s 138 of the Act, Page no. 26 of 33 cannot obviously contend thereafter that there was no proper service of notice as required under Section 138, by ignoring statutory presumption to the contrary under Section 27 of the General Clauses Act and Section 114 of the Evidence Act. In such situation, plea taken by accused that there was no service of demand notice upon him is hereby rejected.

(j) Regarding quantum of sentence:- Accused was directed to pay fine amount along with interest @ 9% p.a. from the date of filing of complaints till date of sentence i.e. 12-8-2016 till 30-3-2024. Ld. Trial Court has given substantive sentence of 3 months in each case but ordered that sentence in payment of default of fine shall run concurrently. Fine amount and interest accrued on the same was ordered to be paid to the complainant towards compensation.

So far imposition of interest on fine amount is concerned, Kerala High Court in Sathyan Ayyappa Sathyan vs. Yousu 2007 CrL. L. J. 2590 while interpreting Section 80 of N.I. Act held that criminal Court while imposing compensation can also direct payment of interest on it. It is Page no. 27 of 33 also held that though Section 80 of the Act prescribe the interest at the rate of 18% per annum but it is not necessary for criminal Court to award this rate of interest and it can reduce the same also. Similarly, Madhya Pradesh High Court also in Ragini Gupta vs. Piyush Dutt Sharma 2019 SCOnline MP 4372 allowed compensation along with interest at the rate of 9% p.a. from the date of issuance of cheque till actual payment is made.

Even Hon'ble Supreme Court further in R. Vijayan vs. Baby 2011 X AD (SC) 553 directed Magistrates to exercise the power in case of convictions in cases under Section 138 N.I. Act to levy fine upto twice the cheque amount and simple interest thereon at 9% per annum as the reasonable quantum of loss and direct payment of such amount as compensation to the complainant unless there are special circumstances. Hence, in such situation imposition of interest on the fine amount as ordered by Ld. Trial Court cannot be found faulted in any manner.

However, the concurrent default sentence in case of non payment of fine amount is liable to be modified to some Page no. 28 of 33 extent because concurrent sentence can only be in case of substantive sentence and not in case of default of payment of fine or compensation amount.

Delhi High Court in Shree Sainath Wires Pvt. Ltd. Vs. PEC Ltd. 236 (2017) DLT 190 held that sentence in case of default of payment of compensation cannot be more than 1/4th period of substantive sentence as per Section 30 Cr.P.C. and such sentence in default could not be run concurrently with main substantive sentence. It is further held that where liability forms part of one single transaction giving rise to one cause of action, then substantive sentence in each of the complaint case should be concurrent rather than independent/ consecutive sentence in each case. In this matter, in respect of one transaction, accused company issued number of cheques of Rs. 50 lakhs each of the same day and upon dishonor of those cheques, 18 complaint cases were filed. In all these complaints, after conviction, sentence of one year imprisonment with fine of Rs. 51 lakhs each to be paid as compensation to the complainant was awarded by the MM Page no. 29 of 33 concerned and those substantive sentences of one year were ordered to be run consecutively. It was also ordered by the MM that in case of non payment of compensation amount, accused will also undergo 6 months imprisonment in default. High Court modified the substantive sentence of imprisonment and ordered the same to run concurrently. Sentence in case of default of payment of compensation was also ordered to be reduced to 3 months due to bar of Section 30 Cr.P.C. Such sentence in default could not be run concurrently.

Hon'ble Supreme Court in V.K. Bansal vs. State of Haryana 2013 (VIII) AD (SC) 39 dealt with "Single transaction rule" and held that if there is a single transaction which results in two offences then sentence ought to run concurrently but if the transactions are different then this rule would not be applicable.

In Shyam Pal vs. Dayawati Besoya 2016 XII AD (SC) 209 Hon'ble Supreme Court allowed running concurrently the two substantive sentences given in two different matters only but not the sentences passed in default of payment of Page no. 30 of 33 fine or compensation.

In Kari Yadav vs. State 2024 SCOnline Del 3660, Sanjay Kumar Basoya vs. Canara Bank 242 (2017) DLT 292 Hon'ble Delhi High Court held that cheques issued on different dates constitute different cause of action under N.I. Act and awarding substantive sentences to run consecutively in different complaint cases is justified. However, sentences in default of payment of fine cannot run concurrently.

Again, Hon'ble Delhi High Court in Dinesh Kundra vs. State MANU/DE/1909/2025 allowed the substantive sentences awarded to accused in two separate cases to run concurrently but stated that sentence in default of payment shall not run concurrently as it was found that accused had issued two different cheques in discharge of single liability as well as in same transaction to two different persons who filed separate complaints in which he was convicted.

In view of the above settled law, the accused is entitled to get the benefit of running of substantive sentence of imprisonment concurrently in all the three cases and not in respect of default imprisonment in case of non deposit of fine Page no. 31 of 33 amount. Only to this extent, the sentence is liable to be modified.

9) In view of the above decision, all the three appeals are hereby dismissed by upholding the impugned conviction judgment in all the three cases by ld. Trial Court and sentence awarded to the accused subject to modification that only substantive sentences of 3 months each shall run concurrently and not the sentences awarded in case of default of payment of fine. Accused is ordered to surrender before ld. Trial Court on 4-5-2026 at 10 a.m. in order to undergo the substantive sentences awarded in each case. He is also directed to deposit the balance fine/compensation amount with the ld. Trial Court which can be collected by the complainant. The amount deposited by the accused in this court in the shape of FDR in compliance of order of this Court dated 28-1-2025 and of Hon'ble High Court dated 17-4-2025 be sent to ld. Trial Court with directions to handover the same to the complainant. In case, accused does not surrender or does not deposit the balance amount by 4-5-2026, then ld. Trial Court shall be at liberty to take coercive action against the accused by issuing Page no. 32 of 33 arrest warrants and for attachment of his properties u/s 421 (1) or 431 Cr.P.C. as the case may be for recovery of the balance amount because law is well settled that even if the accused has undergone the sentence in default of non payment of the fine/compensation amount, the said amount is still recoverable under Section 421 Cr.P.C. as held by Supreme Court in Kumaran vs. State of Kerala 2017 VII AD (SC) 142 and there is no need to give any special reasons. Further, Hon'ble Supreme Court in M/s. Meters and Instruments Private Ltd. vs. Kanchan Mehta 2018 CrL. J. 1160 held that the direction to pay compensation can be enforced by

default sentence under Section 64 IPC and by recovery procedure prescribed under Section 431 Cr.P.C. Ld. Trial Court is also requested to report to this Court whether accused has complied with the above directions or not. Copy of the order be kept in each file and appeal files be consigned to record room.

ASHWANI	SARPAL
SARPAL	Date:
	2026.04.25
	13:23:11 +0530

Dt- 25-4-2026.

(Ashwani Kumar Sarpal)
Principal District & Sessions Judge

East District, Karkardooma Courts, Delhi..

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